



As India marches ahead with its growth narrative, the role of regulatory advancements and that of the market regulator cannot be overstated

cess to information and trading platforms, further accelerated by technological progress. Trading has shifted from brokers' offices to desktops and mobile phones, as reflected in the surge of new investors over the last three years. Today, India's market is well-regulated, with no unregistered trades, and many risks have been mitigated by regulators. Looking ahead, the Securities and Exchange Board of India (Sebi) may focus more on product development and market efficiency while continuing to prioritise investor protection. Stock exchanges will also play a key role by address-

ing market gaps and introducing new products and mechanisms.

The stock market plays a crucial role in nation-building by facilitating capital formation. Companies raise essential funds through primary markets for infrastructure and development projects, while the secondary market provides liquidity, making these investments attractive. Additionally, derivatives markets support price discovery and liquidity in the secondary market. Stock markets also attract foreign investors, bringing in capital and creating jobs, which in turn boosts manu-

facturing as foreign firms establish themselves in India.

The ripple effect of increased stock market participation has already fuelled a surge in the sales of smartphones and laptops, which are now essential tools for trading and investment activities. This trend is expected to expand beyond just these devices, driving demand for other electronics such as tablets and home office equipment. As more people embrace digital platforms for financial transactions and investments, the growing consumption of technology will, in turn, stimulate manufacturing sectors and create additional employment opportunities across the electronics and allied industries.

However, traditional capital markets are not without competition. Online gaming and cryptocurrencies, for example, are emerging as alternatives to traditional investments. While they aren't yet a significant threat, regulatory uncertainties and potential cyber risks make them a concern. Policymakers must decide whether to regulate these sectors or monitor them closely. Fantasy sports and online gaming platforms, which are popular among young investors, offer an alternative investment avenue that could divert funds from traditional markets. Similarly, cryptocurrencies, despite their volatility and ambiguous regulations, attract tech-savvy youth, posing a challenge for regulators. Therefore, the regulator needs to keep a keen eye on these areas.

Overall, the Indian stock market is poised for continued growth, bolstered by strong inflows from DIIs and systematic investment plans (SIPs) from retail investors. **BT**

As told to Rahul Oberoi. The author is MD & CEO, BSE. Views are personal